Received: 2024-SC-0284 02/24/2025
Tendered: 2024-SC-0284 02/25/2025
M. Katherine Bing, Clerk
Supreme Court of Kentucky

COMMONWEALTH OF KENTUCK
SUPREME COURT
NO. 2024-SC-0284-D, 2024-SC-0289-D, 2024-SC-0291-D, & 2024-SC-0295D

HMB PROFESSIONAL ENGINEERS, INC. *ET. AL.* APPELLANTS

From the Court of Appeals
No. 2021-CA-1187
No. 2021-CA-1223
No. 2021-CA-1445
v. No. 2021-CA-1501

On Appeal from Fayette Circuit Court
Action No. 19-CI-00334

KRISTINA L. IVES, INDIVIDUALLY, *ET AL.* APPELLEES

AMICUS CURIAE BRIEF OF AMERICAN COUNCIL OF ENGINEERING COMPANIES OF KENTUCKY

CERTIFICATE OF SERVICE

I hereby certify that on this 24th day of February, 2025, the foregoing was electronically filed with the Clerk of the Kentucky Supreme Court via the Court's CM/ECF system, and copies were served via USPS, postage prepaid, to the Clerk of the Kentucky Court of Appeals, 669 Chamberlin Ave., Suite B, Frankfort, KY 40601, and to the Hon. Kimberly N. Bunnell, Judge, Fayette Circuit Court, 120 N. Limestone, Lexington, KY 40507, and served via e-mail to: Benjamin Lee Kessinger, III and Mason Moore Kessinger, Kessinger Law Group, PLLC, 120 Kentucky Ave., Ste. 220, Lexington, KY 40502; John D. "Chip" Clay and Denise M. Motta, Gordon Rees Scully Mansukhani LLP, 325 W. Main St., Ste. 2300, Louisville, KY 40202; Erik D. Peterson and Bartley K. Hagerman, Mehr Fairbanks Trial Lawyers, PLLC, 201 W. Short St., Ste. 800, Lexington, KY 40507; William Geisen and Cassandra L. Welch, Stites & Harbison, PLLC, 100 E. River Center Blvd., Covington, KY 41011; Michael D. Risley and Bethany A. Breetz, Stites & Harbison, PLLC, 400 W. Market St., Ste. 1800, Louisville, KY 40202; and K. Brad Oakley, Jackson Kelly PLLC, 100 W. Main St., Ste. 700, Lexington, KY 40507. I further certify that the record on appeal was not withdrawn by the undersigned from this court.

/s/ Mitchel T. Denham

Mitchel T. Denham
McBrayer PLLC
500 W. Jefferson Street, Suite 2400
Louisville, KY 40202
(502) 327-5400
Counsel for Amicus Curiae
American Council of Engineering
Companies of Kentucky

000001 of 000020

Tendered

STATEMENT OF POINTS AND AUTHORITIES

STATEMENT OF POINTS AND AUTHORITIES i

THE PURPOSE AND INTEREST OF *AMICUS CURIAE*, AMERICAN COUNCIL OF ENGINEERING COMPANIES OF KENTUCKY 1

ARGUMENT 2

I. Engineers are Required to Comply with the Standards Set by the Federal Highway Administration and the Kentucky Transportation Cabinet 2

49 USC § 104 2

23 USC § 315 2

23 C.F.R. § 625.1 2

23 C.F.R. § 625.3 2

23 C.F.R. § 625.4 .....2, 4

23 C.F.R. § 625.3(f) 3

23 C.F.R. § 625.3(f)(ii) 3

KRS 177.230 3

KRS 177.240 3

Kentucky Transportation Cabinet Highway Design Guidance Manual ..... passim

The Brooks Act, 40 USC § 1101 3

KRS 45A.803 4

23 U.S.C. § 112(b)(2) 4

23 C.F.R. 630.205(e) 5

23 C.F.R. § 625 5

II. This Court Should Reaffirm Kentucky's Jurisprudence that Shields KYTC's Engineering Contractors from Liability if They Are Following Plans Approved by the Government 6

Rigsby v. Brighton Engineering Co., 464 S.W.2d 279 (Ky.1970).....6,7,9,10,13

A

000002 of 000020

2402402025 Catherine Bing, Clerk, Supreme Court of Kentucky

Tendered

Hunt-Forbes Const. Co. v. Robinson, 12 S.W.2d 303 (Ky. 1928) 6,7

Taylor v. Westerfield, 26 S.W.2d 557 (1930).....6

City of Louisville v. Padgett, 457 S.W.2d 485 (Ky. 1970) 7

Bluegrass Traction Co. v. Grover, 123 S.W. 264 (Ky. 1909) 7

KRS 177.310.....9

23 U.S.C. § 315.....9

KRS 177.230.....9

KRS 177.240.....10,12

Bolin v. Davis, 283 S.W.3d 752 (Ky. App. 2008) 10,13

Portland v. Hoskins-Squier, 689 S.W.3d 728 (Ky. App. 2024).....10

Estate of Clark v. Daviess County, 105 S.W.3d 841 (Ky. 2003).....10

Pugh v. City of Catlettsburg, 283 S.W. 89 (Ky. 1926) 11,12

Clay City v. Abner, 82 S.W. 276 (Ky. 1904) 12

Yearsley v. W.A. Ross Const. Co., 309 U.S. 18 (1940).....12

Boyle v. United Techs. Corp., 487 U.S. 500 (1988) 12,13

Teager v. City of Flemingsburg, 60 S.W. 718 (Ky. 1901) 12

Carroll's Adm'r v. City of Louisville, 78 S.W. 117 (Ky. 1904) 12

McCourt v. City of Covington, 136 S.W. 910 (Ky. 1911) 12

Tudor v. City of Louisville, 189 S.W. 456 (Ky. 1916).....12

City of Pikeville v. Williams, 280 S.W. 467 (Ky. 1926) 12

Louisville v. Redmon, 96 S.W.2d 866 (Ky. 1936) 12

Estate of Lyons v. CAN Ins. Companies, 207 Wis. 2d 446 (Ct. App. 1996).....14

III. The FHWA Regulations Preempt Negligence Claims for Design Deficiencies on NHS Projects 14

A

000003 of 000020

2403240285 Catherine Bing, Clerk, Supreme Court of Kentucky
2403240285

Tendered

Board of Education v. W.R. Grace Corp., 609 A.2d 92, 112 (N.J. Super. 1992) 14

Barker v. Rogers Group, Inc., 45 S.W.3d 389 (Ark. App. 2001) 14

Wood v. Foster & Creighton Co., 235 S.W. 1 (Tenn. 1950).....14

Sherman v. Miller Const. Co., 158 N.E. 255 (Ind. App. 1927).....14

Florida Lime & Avocado Growers, Inc. v. Paul, 373 U.S. 132 (1963).....15

Niehoff v. Surgidev Corp., 950 S.W.2d 816 (Ky. 1997) 15

23 C.F.R. § 265 15

Norfolk Southern Ry. Co. v. Shanklin, 529 U.S. 344 (2000) 15

Boyle v. United Techs. Corp., 487 U.S. 500 (1988) 14,15

23 U.S.C. § 315.....15

23 C.F.R. § 625 15

23 U.S.C. § 112.....15

CONCLUSION 16

WORD COUNT CERTIFICATE.....16

A

000004 of 000020

2403-24-0285 Catherine Bing, Clerk, Supreme Court of Kentucky

Tendered

THE PURPOSE AND INTEREST OF *AMICUS CURIAE*, AMERICAN COUNCIL OF ENGINEERING COMPANIES OF KENTUCKY.

The American Council of Engineering Companies of Kentucky ("ACEC-KY") is a state member organization of the American Council of Engineering Companies ("ACEC") with over 70 member firms employing more than 2,700 people across the Commonwealth. ACEC is a national federation comprised of state and regional organizations representing nearly 6,000 firms employing more than 600,000 engineers, architects, land surveyors, and licensed professionals throughout the United Sates. All members of ACEC-KY are licensed to practice Professional Engineering or Land Surveying under the laws of the Commonwealth. ACEC-KY represents the business interests of engineering firms, and is dedicated to:

- Establishing and maintaining the highest standards of technical performance and professional practice.
- Encouraging continuing professional and technical achievement among all engineers.
- Developing a greater understanding of the practice of consulting engineering among the public, related design professions, the construction and materials industries and local, state, and federal governments.
- Performing public services when they do not conflict with professional obligations.

The outcome of this appeal will significantly affect ACEC-KY's members and the engineering and design services industry. Engineers must comply with the standards set by the federal and state governments, as required by federal law. The Court of Appeals' Opinion requires them to comply with a different and contrary standard set by an expert after the state and federal governments have approved the design of a highway and it has been constructed. This creates an untenable situation. ACEC-KY is uniquely positioned to demonstrate why the Court of Appeals' Opinion must be reversed.

2023-CA-0285 Kathy Bing, Clerk, Supreme Court of Kentucky
2023-CA-0285
000005 of 000020

Tendered

ARGUMENT.

I. Engineers are Required to Comply with the Standards Set by the Federal Highway Administration and the Kentucky Transportation Cabinet.

Engineers contracting with the Commonwealth to design projects are subject to rigorous federal and state standards respectively required by Congress and the General Assembly to be implemented through regulations. This case involves work on Interstate 65, which is part of the National Highway System ("NHS"). The FHWA is required by Congress to oversee the design, construction, and maintenance of the National Highway System. *See* 49 USC § 104; 23 USC § 315.[1] Through regulations, the FHWA has set the "standards, policies, and standard specifications" highways that are part of the NHS, including the standards for their design. 23 C.F.R. § 625.1; § 625.3. The FHWA requires design plans to be "approved by the Secretary in cooperation with the State D[epartments of Transportation ("DOT")]" and requires consideration of various criteria, including "(i) The constructed and natural environment of the area; (ii) The environmental, scenic, aesthetic, historic, community, and preservation impacts of the activity; (iii) Cost savings by utilizing flexibility that exists in current design guidance and regulations; and (iv) Access for other modes of transportation." *Id.*

Any engineers working on a project that is part of the NHS, such as the project in this case, are required to satisfy these federal mandated standards when designing these highways. 23 C.F.R. § 625.3. These include specific criteria and controls set forth by the American Association of State Highway and Transportation Officials ("AASHTO") and other standards set forth in regulation. 23 C.F.R. § 625.4.

[1] The Appellants have adequately stated the underlying facts in this case, and this brief will not repeat those, but directs the Court to the facts in Appellants' various briefs.

A

000006 of 000020

2403-CI-00825 03/04/2025 Catherine Bing, Clerk, Supreme Court of Kentucky

Tendered

Engineers are not permitted to deviate from these standards during the design process, lest they be in violation of federal law. The FHWA may approve exceptions to these standards when the FHWA determines the "[p]roject conditions warrant that exceptions be made." 23 C.F.R. § 625.3(f). That determination "is made only after due consideration is given to all project conditions…." 23 C.F.R. § 625.3(f)(ii).

The Kentucky Transportation Cabinet is the state DOT. *See* KRS 177.230; 177.240. KYTC has implemented the Highway Design Guidance Manual ("KYTC Design Manual") to provide uniformity in the interpretation and administration of laws, regulations, policies, and procedures applicable to highway design by the Department of Highways.[2] The KYTC Design Manual dictates the project from start to finish, including collecting and using project data, pre-design work and coordination, preliminary design, the final design, consultant contract administration, and more. *Id.*

Engineers are hired by the KYTC to design road projects in the Commonwealth, including NHS projects, through a rigorous and competitive qualification's process that includes selection by a committee consisting of professional engineers.[3] The Brooks Act, 40 USC § 1101, provides for the selection of professional design services be procured through a qualifications-based selection ("QBS") process. For federal highway projects, like the project in this case, the Kentucky Model Procurement Code requires KYTC to utilize QBS when procuring engineering design services for all federal highway projects.

[2] *KYTC Highway Design Guidance Manual*. Available at: https://transportation.ky.gov/Organizational-Resources/Policy%20Manuals%20Library/Highway%20Design.pdf (last visited February 24, 2025).

[3] *KYTC Professional Services Guidance Manual.* Available at: https://transportation.ky.gov/Organizational-Resources/Policy%20Manuals%20Library/Professional%20Services.pdf (last visited Feb. 24, 2025).

000007 of 000020

2025-02-28 Catherine Bing, Clerk, Supreme Court of Kentucky

Tendered

See KRS 45A.803. QBS is a competitive two-step process, but price is not an element of scoring in the selection process. *See* 23 U.S.C. § 112(b)(2). After a design firm is selected, and the scope of the project is defined, the two parties enter fee negotiations based on the specific scope of work. *Id.* If an agreement on fee is not reached, the DOT moves to the next firm (as ranked in the selection process) and they begin fee negotiations. *Id.*

The entire project, including the work of the engineers, is overseen by the KYTC's Project Development Manager ("PDM"). *See* KYTC Design Manual, at § HD-203.1. The PDM, who is a KYTC employee, makes key decision points throughout the project including the purpose and need of the project, considering the range of alternatives, and selecting a preferred alternative. *Id*., at § HD-203.2. KYTC studies the scope of impacts, holds public meetings, and conducts an environmental assessment. *Id.*

The KYTC Design Manual includes Geometric Design Guidelines that adopts the AASHTO *Policy on Geometric Design of Highways and Streets. See* KYTC Design Manual, at § HD-702. These guidelines meet the minimum standards required under 23 C.F.R. § 625.4 and dictate the parameters of any design submitted by a contracted engineer. The engineers work within these parameters to propose plans and alternative plans that meets the minimum federal standards for approval by the KYTC. *Id.*, at § HD-203.3. The design work culminates in the Design Executive Summary ("DES") which is the "record of engineering decisions related to the project and contains rationale concerning the identification of the preferred alternative and requested design exceptions." *Id.* at HD-203.6.

The parameters provide for a process to justify "formal design exceptions" to any of the ten controlling FHWA controlling criteria. *Id.* at § HD-704. If "exceptions to the

A

000008 of 000020

2403240825 Catherine Bing, Clerk, Supreme Court of Kentucky

Tendered

controlling criteria" are needed, the PDM documents the design exceptions in the DES with a detailed, written discussion of the recommendation and justification for the exception. *Id.* at § HD-704.3. The DES is subject to a rigorous three-tiered approval process within the KYTC. *Id.*, at HD-203.6. For projects with FHWA oversight, such as here, the KYTC solicits approval of the FHWA, including approval for any design exceptions. *Id.* Only after the plans and specifications have been approved by the FHWA is the state allowed to advertise for a construction contract. *See* 23 C.F.R. 630.205(e).

The record, as discussed in more detail in Appellants' briefing, shows that this process was followed by the government and its contracted engineers. The DES contained the KYTC standard and typical "straight-line slope" for superelevated sections of the project, which were also in compliance with standards in AASHTO Section 4.4.3. (HMB[4] Brief, at 8; HDR Brief, at 18-19.) These were not exceptions, but were a typical KYTC standard straight-line slope is utilized in various sections of I-65, I-75, I-71, I-265, and I-264. (HMB Brief, at 8.)

The DES also contained justification to support exceptions to the FHWA standards, including a Categorical Exclusion under the National Environmental Policy Act ("NEPA") and an exception for seven separate geometrical conditions known as "sag vertical curves." (HDR Brief, at 5-6.) As required, the justification provided to KYTC included a comprehensive analysis of the specific design considerations, including those required by the FHWA in 23 C.F.R. § 625. (HDR Brief, at 6.)

[4] HMB Professional Engineers, Inc. and its associated parties are referred to as "HMB," HDR Engineers, Inc. and its associated parties are referred to as "HDR" and the WSP USA Inc. and its associated parties are referred to as "WSP."

000009 of 000020

2403-24-02825 Catherine Bing, Clerk, Supreme Court of Kentucky

Tendered

KYTC vetted and approved the DES. (HDR Brief, at 6.) KYTC then submitted it to the FHWA for approval. The FHWA reviewed and approved the project, including the typical straight-line slope design and the sag vertical curve exceptions. (HMB Brief, at 6-7; WSP Brief, at 2-4; HDR Brief, at 3-10.) FHWA and KYTC secured nearly $240 million in federal funds for the project. (HMB Brief, at 8.)

II. This Court Should Reaffirm Kentucky's Jurisprudence that Shields KYTC's Engineering Contractors from Liability if They Are Following Plans Approved by the Government.

Government contractors designing and constructing Kentucky's public roadways who follow the specifications of the government have been insulated from liability for over a century. Fifty-five years ago, *Rigsby v. Brighton Engineering Co.* specifically protected engineers who follow the design specifications approved by KYTC. 464 S.W.2d 279, 280 (Ky. 1970). *Rigsby* is grounded in longstanding Kentucky jurisprudence that prevents second-guessing of the Commonwealth, its municipalities, and its contractors from road design and construction decisions. The rule was articulated in *Hunt-Forbes Const. Co. v. Robinson*, where the then-high court held that "an agent of the county cannot be sued by reason of the construction of a county road *in accordance with the plans and specifications of the county*." 12 S.W.2d 303, 304 (Ky. 1928) (emphasis added). In *Hunt-Forbes*, a road contractor was exempted by liability for work done under a contract with the government because the work was done "in strict compliance with certain plans and specifications given to him by the state highway department." *Taylor v. Westerfield*, 26 S.W.2d 557 (1930) (citing to *Hunt-Forbes*, 12 S.W.2d at 304). *Taylor* reiterated this rule and differentiated it from a broader line of cases that insulated government contractors from *any* negligent work *not in compliance* with the government plans and specifications. *Id.*, at 560. The *Taylor* court held, "[i]t is one thing to say that the contractor shall not be responsible where he

A
000010 of 000020
2403240825 3/24/2025 Catherine Bing, Clerk, Supreme Court of Kentucky

Tendered

does the work in strict compliance with the plans and specifications and an entirely different thing to say that he must be responsible if he negligently does the work. *Id*.[5]

In other words, the government contractor defense to liability applies where (1) the party is a government contractor engaged in public work, and (2) the work by the contractor is done in compliance with the plans and specifications of the government. The rule was recognized again in *City of Louisville v. Padgett*, 457 S.W.2d 485 (Ky. 1970). There, a passenger in a vehicle was injured when it ran into a pool of water on River Road in Louisville. *Id.* The City of Louisville sought indemnification against the road contractor that constructed part of I-64. *Id.*, at 487. The Court held applied the *Hunt-Forbes* rule that "[o]rdinarily one contracting with the sovereign Commonwealth [] who performs his contract in conformity with the plans and specifications of the contract will not be held liable for injury to the public in the absence of negligence." *Id.* Thus, the question for the Court was whether the contractor "made the change in the slope strictly in conformity with the verbal specifications of the Department of Highways." *Id.* Finding that the contractor "only did what it was instructed to do by the highway department officials" after a review of the record, the court affirmed the directed verdict in favor of the contractor. *Id.*, at 490.

Rigsby applied the rule, citing *Hunt-Forbes*, and the court found an engineer contracted with KYTC to design a road project could not be liable under a negligence theory for following the standards set forth by the KYTC. 464 S.W.2d at 281. In *Rigsby*, a family was traveling along the Bluegrass Parkway when their car crossed the emergency

[5] The defense to liability articulated in *Hunt-Forbes* was in effect as early as 1909 in *Bluegrass Traction Co. v. Grover*, 123 S.W. 264 (Ky. 1909) which provided even broader protection for all negligence acts of contractors before *Taylor* distinguished the broader liability from that in *Hunt-Forbes*.

A

000011 of 000020

2403240825 Catherine Bing, Clerk, Supreme Court of Kentucky

Tendered

stopping lane and collided with a concrete pier taking the lives of all occupants. *Id.*, at 280. The family estate alleged the engineer hired by the Kentucky Department of Highways was negligent in its design by failing to recommend a guardrail be erected to prevent vehicles from colliding with the bridge pier. *Id*. The evidence presented by the engineering firm showed it had no "latitude, responsibility, or discretion in recommending the installation of …guardrails." *Id.* Instead, the engineer was "required to comply with the standard drawings and design criteria furnished to them by the Department of Highways." and "ha[d] no discretion to alter, change or deviate therefrom in any material aspect." *Id*. There was no evidence or allegation that the engineer deviated from the design standards and criteria set for the Department of Highways. *Id.* Even though the estate presented an affidavit from an expert stating that guardrails were reasonably necessary to protect the traveling public, the Court still found no liability in negligence for the engineer because it followed the standards set forth by the state. *Id.*, at 281.

The century-old government contractor defense is applicable to this case. First, it is applicable to any alleged defect of the straight-line slope design. As stated above, and in Appellants' briefs, the engineers followed the standards set by the KYTC and AASHTO when recommending the typical slope design. This typical design was part of the DES and approved by both the KYTC and the FHWA. Second, the defense is equally applicable to any alleged defect in the sag vertical curve exception (or any other exceptions). The KYTC and the FHWA dictate the parameters under which exceptions may make their way into the plans. The Commonwealth's professional staff reviewed, vetted, and approved the exceptions, and included them in the DES approved by the FHWA. Upon approval of the DES by the government, those exceptions became part of the plan and specifications

A

000012 of 000020

2403/24/2025 Catherine Bing, Clerk, Supreme Court of Kentucky

Tendered

dictated by the government. Because these design specifications were followed, the engineers cannot be liable for negligence. *Rigsby*, 464 S.W.2d at 281.

Sound public policy supports this conclusion. First, there can be no dispute that Kentucky's roads are a public concern. *See e.g.* KRS 177.310 (declaring limited access highways "necessary for the immediate preservation of the public peace, health, and safety, and for the promotion of the general welfare."); 23 U.S.C. § 315 (authorizing U.S. Secretary of Transportation to establish regulations necessary for the NHS). To that end, the General Assembly has tasked the KYTC and municipalities with authority to plan, regulate, improve, maintain limited access highways. KRS 177.230. Every budget year, the General Assembly approves a road plan that appropriates millions of dollars to design, construct, and maintain Kentucky's roads. *See* 2024 Ky. Acts 153 at 294 (summarizing appropriations of over $5.7 billion to the KYTC for road projects). The 2024 to 2030 Enacted Highway Plan includes a total of 1,731 projects divided into 4,075 project phases, with funding of over $9.8 billion. *See* Kentucky Enacted Highway Plan 2024-2030.[6]

Significantly, over $1.1 billion is scheduled to be allocated for the design of the Commonwealth's highways. *Id.* KYTC employs personnel to oversee the various aspects of constructing, repairing, and expanding the Commonwealth's highways, including professional engineers to oversee the design. They also contract with third-party engineers to assist in the design aspect of the projects. Clearly, the public has an interest in benefiting from the uniform standards and processes set by the FHWA and KYTC.

[6] *See* Kentucky Enacted Highway Plan, p. 15. Available at: https://transportation.ky.gov/Program-Management/2024%20Recommended%20Highway%20Plan/2024%20Enacted%20Highway%20Plan%20combined%20June%2021%202024.pdf (last visited Feb. 21, 2025).

A

000013 of 000020

2025-02-28 Catherine Bing, Clerk, Supreme Court of Kentucky

Tendered

Second, it is important that the government be able to plan, design, and construct roadways in its discretion. In fact, the General Assembly demands that KYTC's approval of the design should not be second-guessed because "determination of [a highway's] design shall be final." KRS 177.240. Recognizing the importance of public officials' ability to exercise their best judgment, the Kentucky Court of Appeals has held that an official's decisions to install safety measures on roadways are discretionary, for which the official "is cloaked in qualified official immunity." *Bolin v. Davis*, 283 S.W.3d 752, 759 (Ky. App. 2008); *Portland v. Hoskins-Squier*, 689 S.W.3d 728, 732 (Ky. App. 2024). The Commonwealth and its subdivisions also have sovereign immunity. *Estate of Clark v. Daviess County*, 105 S.W. 3d 841 (Ky. 2003). Thus, KYTC, and its individual employees of KYTC, including the PDM who oversaw the project, reviewed and agreed with the DES, and sought approval from the FHWA would be immune.[7]

It stands to reason that a contractor who follows the directives of the KYTC and FHWA should at least have a defense to liability if he has followed the plans and specifications determined by the government and its officials. *See Rigsby*, 464 S.W.2d at 281 (discussing the "experience and expertise of the KYTC staff and engineers). The state and federal government should be given deference to set uniform design and construction standards on our public highways, and to determine when exceptions to those standards will be permitted. If not, then experts across various circuit court venues could dictate

[7] The Commonwealth has waived sovereign immunity and provided a remedy for negligent claims against state agencies and allowed actions against it to proceed to the Board of Claims. KRS 49.060.

000014 of 000020

2403-CI-00825 Catherine Bing, Clerk, Supreme Court of Kentucky

Tendered

different standards. A jury in Ashland[8] may have a different view than a jury in Bowling Green, creating uncertainty in the design and construction of Kentucky's highways.

Third, the erroneous application of the rejection of the accepted-work doctrine adopted by the Court of Appeals would place all engineers working on KYTC projects in an untenable "Catch-22" situation. The engineers are required to follow the specifications and the processes by the KYTC and the FHWA, but must also be concerned that an expert may later question the *government's decision* to approve of the design *after* it has already been discussed, vetted, justified, and approved under the government's criteria. Engineers would be placed in an impossible position where they must comply with the state and federal standards on one hand, but must also comply with a yet to be known opinion that there is a "better" standard. Doing their job within the safety standards set by the federal and state governments that are "final" under the law would not be enough.

These public policy considerations are similar to those that support Kentucky courts' decisions to limit the liability of municipalities for determining when a public road should be built or improved, and in what manner. The rule applicable to municipalities, that are not cloaked with sovereign immunity, is summarized in *Pugh v. City of Catlettsburg*, 283 S.W. 89 (Ky. 1926).

> Unless the plan that [the municipality] adopted is one so obviously dangerous as would show a failure to consider or a purpose to misconstruct the work, the judgment of the governing body of the town as to the plan is conclusive. The town is not liable in damages for accidents that may occur on the highway because the very best plan, or even a better one in view of the jury, was not adopted. A municipality is in no sense a guarantor of the safety of the traveler upon its highways.

[8] Kentucky Highway 23 in Boyd County contains the same straight-line slope design. (HMB Motion for Discretionary Review, at 19.)

A

000015 of 000020

2403240825 Catherine Bing, Clerk, Supreme Court of Kentucky

Tendered

Id., at 91, quoting *Clay City v. Abner*, 82 S.W. 276 (Ky. 1904).[9]

The reason for this rule is to avoid substituting the jury's judgment for that of the elected member of the municipality. *Pugh*, 283 S.W. at 91. "[I]t is for the town council to determine whether a public way shall be improved at all, and, if it is, the manner and extent of it [because] [t]hey are selected particularly with reference to their fitness and interest in such matters." *Id.* That reasoning applies equally to KYTC's engineering contractors chosen under the rigorous selection process for their expertise and fitness to assist KYTC.

Kentucky is not alone in applying the government contractor defense. Contractors who contract directly with the federal government are entitled to immunity under *Yearsley v. W.A. Ross Const. Co.*, where the Supreme Court of the United States held that a government contractor is not liable for damages when executing the will of the government. 309 U.S. 18, 21 (1940). Liability may only be found when the contractor exceeds his authority, or the authority was not validly conferred. *Id*. In *Boyle v. United Techs. Corp.*, the Supreme Court expanded *Yearsley* to limit state tort liability for government contractors regarding design defects. 487 U.S. 500, 504 (1988). The Court adopted a three-part test insulating government contractors from state tort liability when "(1) the United States approved reasonably precise specifications; (2) the equipment conformed to those specifications; and (3) the supplier warned the United States about the dangers in the use of the equipment that were known to the supplier but not to the United States." *Id*. at 512.

[9] *See Teager v. City of Flemingsburg*, 60 S.W. 718 (Ky. 1901); *Carroll's Adm'r v. City of Louisville*, 78 S.W. 117 (Ky. 1904); *McCourt v. City of Covington*, 136 S.W. 910 (Ky. 1911); *Tudor v. City of Louisville*, 189 S.W. 456 (Ky. 1916); *City of Pikeville v. Williams*, 280 S.W. 467 (Ky. 1926); *Louisville v. Redmon*, 96 S.W.2d 866, 869 (Ky. 1936).

000016 of 000020

2403240825 03/24/2025 Catherine Bing, Clerk, Supreme Court of Kentucky

Tendered

The rationale for the *Boyle* test is the same as Kentucky's government contractor defense. First, it applies state tort actions where the discretionary functions of the government would be frustrated. *Id.*, at 512. Of course, that is applicable to lawsuits challenging the adequacy of highway designs on negligence grounds because those designs and specifications are within the discretion of the government. *See Bolin*, 283 S.W.3d at 752; KRS 177.240 (declaring design decisions by KYTC final). Second, it creates an incentive for the contractor to share relevant information and knowledge with the government. *Boyle*, 487 U.S. at 512. Here, both the federal and state specifications require engineers to document all rational for the design (including any exceptions) in the DES.

While application of *Rigsby* resolves this case in favor of the engineers, an application of *Boyle* would do the same. Under *Boyle*, the engineers in this case would undoubtedly have immunity. First, the specifications are reasonably precise and dictated in both the FHWA regulations, the KYTC Design Manual, and the AASHTO guidelines. Second, the design conformed to the specifications. In particular, the straight-line slope for superelevated sections of the project that was the alleged defect was within KYTC's standard and the AASHTO guidelines. But even the exceptions to the sag vertical curves were documented through the process required by the federal and state governments, and were approved by both before funding was released and work was done on the project. Finally, the government was fully aware of the entire plan, including the straight-line slope and the exceptions, which were documented extensively in the DES. The engineers made the government aware of all the necessary considerations for its approval.[10]

[10] Had the engineers directly contracted with the federal government instead of being subjected to the FHWA standards through their KYTC contracts, *Boyle* would be applicable and shield liability.

000017 of 000020

2023-CA-0285 Catherine Bing, Clerk, Supreme Court of Kentucky

Tendered

Several sister states apply a form of the government immunity defense. For example, Wisconsin has adopted the *Boyle* test as a form of immunity for government contractors. In *Estate of Lyons v. CNA Ins. Companies*, after a deadly accident, a professional engineering company was accused of negligently designing a highway bridge. 207 Wis. 2d 446, 449 (Ct. App. 1996). The Wisconsin court extended immunity to the engineers because the engineers did not select the design and were "directed to use the parameters by a government authority." *Id*. at 451, 458. The court reasoned that the test in *Boyle* would "ensure that state and municipal government, and the public at large, is able to make the best use of the professional design assistance, but that professional contractors are not unfairly burdened by lawsuits when they follow governmental directives." *Id*.[11]

Kentucky engineers should be given the same opportunity to comply with KYTC's and FWHA's plans and specifications without being subjected to a different standard.

III. The FHWA Regulations Preempt Negligence Claims for Design Deficiencies on NHS Projects.

The untenable position in which the Court of Appeals' Opinion puts engineers is best highlighted in the Appellants' federal pre-emption argument. While there does not appear to be any statute specifically in conflict with a state negligence claim, federal pre-emption includes cases "where compliance with both federal and state regulation is a

[11] *See Board of Education v. W.R. Grace Corp.*, 609 A.2d 92, 112 (N.J. Super. 1992) (adopting government contractor defenses articulated in *Boyle*); *Barker v. Rogers Group, Inc.*, 45 S.W.3d 389 (Ark. App. 2001) (holding government contracts not liable under the "acquired immunity" doctrine when the contract has been performed in accordance with the terms of its contract."); *Wood v. Foster & Creighton Co.*, 235 S.W. 1, 3 (Tenn. 1950)(holding state contractor not liable for following public authority's orders); *see also Sherman v. Miller Const. Co.*, 158 N.E. 255 (Ind. App. 1927) (architect hired to design school was not liable when "plans and specifications which he drew met with the approval of the [school].").

000018 of 000020

2403/2025 Catherine Bing, Clerk, Supreme Court of Kentucky

Tendered

physically impossibility," *Florida Lime & Avocado Growers, Inc. v. Paul*, 373 U.S. 132, 142-43 (1963), and where the "federal law so thoroughly occupies the field as to make reasonable the inference that Congress left no room for state law to supplement it." *Niehoff v. Surgidev Corp.*, 950 S.W.2d 816, 823 (Ky. 1997). As discussed above, the FHWA standards and processes in 23 C.F.R § 265 on NHS projects has completely occupied the field, and compliance with those standards working on NHS projects would be impossible if engineers are subjected to a different standard. *See Norfolk Southern Ry. Co. v. Shanklin*, 529 U.S. 344, 359 (2000) (the FHWA approved plans for design safety feature preempted a Tennessee tort claim).

The *Boyle* test itself is rooted in federal preemption principles where there are unique federal concerns that would otherwise be in significant conflict with state tort law. *Boyle,* 487 U.S. at 507. There are unique federal concerns here. The NHS enabling legislation requires the U.S. Secretary of Transportation to promulgate regulations he deems necessary "for preserving and protecting the highways and ensuring the safety of traffic thereon." 23 U.S.C. § 315. And those regulations dictate the minimum standards and process to seek exceptions to those standards for the NHS spanning the nation. 23 C.F.R. § 625. Federal law also dictates the qualifications for any engineer working on an NHS project. *See* 23 U.S.C. § 112. Ensuring those engineers follow the standards set forth by the FHWA is paramount to the operation of the NHS. In this case, the engineers complied with the FHWA standards, and compliance with those standards preempts a tort claim based on different or allegedly better standards.

A

000019 of 000020

2025-02-28 Catherine Bing, Clerk, Supreme Court of Kentucky

Tendered

CONCLUSION.

For the reasons stated herein, and in the Appellants' Briefs, this Court should reverse the Court of Appeals' Opinion and reinstate the judgment of the Fayette Circuit Court.

/s/ Mitchel T. Denham
Mitchel T. Denham
McBrayer PLLC
500 W. Jefferson Street, Suite 2400
Louisville, KY 40202
(502) 327-5400

Counsel for Amicus Curiae
American Council of Engineering Companies of Kentucky

WORD COUNT CERTIFICATE.

The undersigned certifies that his *amicus curiae* brief complies with the word limit of RAP 34(B)(4) because, excluding the parts of the document exempted by RAP 15(D), this brief contains 4,551 words.

/s/ Mitchel T. Denham
Mitchel T. Denham

000020 of 000020

2402402825 Catherine Bing, Clerk, Supreme Court of Kentucky